

Northgate Talent Partners LLC

www.northgatetalent.com

June 25, 2018

Jason Vasquez
General Manager
Davis and Sons

Dear Jason,

Thank you for choosing us to lead your search for a Head of Operations at Davis and Sons. This letter sets down the terms of that engagement, so that everything between us is plain from the start. We treat a retained search as a partnership, and we like to begin by putting the whole of it in writing. Please read what follows with care. If a single line does not match what we agreed, call me before you sign.

The Search We Will Run for You

You are looking for a Head of Operations who can take hold of the daily running of Davis and Sons and give you the room to lead. Our work is to find that person, to test them fully, and to bring you a short slate you can act on with confidence. We run the search on a retained basis. That means we work only for you on this mandate, and we give it our full attention until the seat is filled. Discretion sits underneath all of it. We describe the people we approach by their current role and record, never by name, in anything that leaves our office, and we hold every name in confidence until both sides are ready to meet.

The assignment moves through a few clear stages. I want you to know their shape before we begin, so that nothing about the work comes as a surprise.

- First, we agree the position specification with you, so that we are all searching for the same person.
- Second, we map the market for that person, build a considered long list, and approach each prospect with care.
- Third, we interview and assess in depth, then bring you a short slate described by fit and evidence rather than by name alone.
- Fourth, we stay beside you through your own interviews, the references, and the offer, and we do not step back until your Head of Operations has accepted and started.

The People Who Will Look After You

I will hold the engagement myself and remain your point of contact for as long as you want one. James Grant, one of our senior consultants, will lead the assignment day to day. He works the market at the most senior level, and his judgment on finalists is as sound as any I know. Nicole Donovan, our research associate, will build the candidate profiles and keep every thread moving, so that nothing on the search goes quiet on you. You will find all three of us easy to reach, and easy to talk plainly with.

Our Fee, and When We Start

For a retained search of this kind we work to a fixed professional fee of \$100,500, which covers the assignment in full, from the specification through to a completed placement. The fee is settled at the outset and does not move as the search moves. It is not tied to the pay of the person we place. You know the cost of the work from the first day. We are ready to begin on July 5, 2018, once this letter is signed and returned, and we will hold that date open for you.

The rest of this letter sets out the standard terms on which we work. None of it should surprise you. I would still ask you to read it in full, so that we start on the same page.

Fees and Payment

We bill the fixed fee in three parts, each tied to a milestone: on your signing of this letter, on delivery of the short slate, and on your chosen candidate's acceptance of an offer. Our invoices are due on receipt. Reasonable direct costs that we arrange at your request, such as candidate travel, are billed to you at cost and shown in full. We clear anything out of the ordinary with you before we commit to it.

Term and Termination

The engagement runs from the day you sign until the search is done and our final invoice is settled. Either of us may end it earlier, in writing. We ask only for a short conversation first, so that nothing ends on a misunderstanding. If you close the search early for a reason unrelated to our work, we bill for the stage in hand and no more. If a Head of Operations we place leaves you within the first year for a reason within our control, we will reopen the search once at no further fee.

Confidentiality

We treat all that you share with us, and all that we learn along the way, as confidential, and we use it only for this search. Inside our office, only the people

named above and those whose work requires it will see it. We extend the same care to the candidates. We do not disclose a prospect's interest to anyone outside your side of the table without their knowledge, and we describe them by their role until you are ready to meet. Discretion is not a courtesy in our trade. It is the reason good people are willing to talk to us at all.

Limitation of Liability

We give the search our best professional judgment. The choice of whom to hire is finally yours, and we cannot warrant how any person will perform once in the seat. Our liability to you under this engagement, whether put in contract or in negligence, will not exceed the total fees you pay us under it, save in the case of our own fraud or willful misconduct. Neither of us will be liable to the other for indirect or consequential loss.

Governing Law

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Should any dispute arise, we will each make a genuine effort to settle it in conversation before either of us looks to another forum.

If these terms read as we agreed, please sign both copies below, keep one for your file, and send the other back to me. That one step is all we need to begin. If anything here gives you pause, call me first, and we will settle it before you sign. We are glad to be doing this with you, Jason, and we mean to do it well.

With warm regards,

Kelly Chavez

Managing Director

Date: June 25, 2018

Jason Vasquez

General Manager, Davis and Sons

Date: June 25, 2018